

Calendar Line 5

Case Name: Kaga FEI Co., Ltd. v. Cypress Semiconductor Corp.
Case No.: 19CV359055

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This action arises from alleged breaches of a distributor agreement. Plaintiff and cross-defendant Kaga DEI Co. (“KFEI”) and defendant and cross-complainant Cypress Semiconductor Corporation (“Cypress”) agreed that KFEI would serve as a nonexclusive distributor of Cypress’s products to Japanese companies (the “Distributor Agreement”).²

On November 25, 2019, KFEI commenced this action by filing a complaint against Cypress, asserting causes of action for: (1) breach of contract; and (2) breach of the covenant of good faith and fair dealing. On May 23, 2022, Cypress filed a Cross-Complaint against KFEI and Cross-Defendant Fujitsu Semiconductor Limited (“FSL”), asserting causes of action for: (1) breach of written contract; (2) breach of the covenant of good faith and fair dealing; and (3) intentional interference with contract.

On March 25, 2024, KFEI filed its operative third amended complaint, asserting causes of action for: (1) breach of Distributor Agreement; (2) breach of the covenant of good faith and fair dealing; (3) fraudulent inducement/intentional misrepresentation; (4) false promise; (5) intentional interference with contractual relations; (6) intentional interference with prospective economic relations; (7) implied contractual indemnity/equitable indemnity.

On October 8, 2024, the court issued an order on the parties’ stipulation, scheduling a jury trial to begin on July 28, 2025, and setting April 15, 2025, as the close of fact discovery. (See *Stipulation and Order Concerning Trial Date, Extension of Deadline to Begin Trial Under*

² On March 9, 2021, Plaintiff notified the court that it changed its corporate name from Fujitsu Electronics Inc. to Kaga FEI Co., Ltd.

C.C.P. 583.310, and Pre-Trial Deadlines and Procedures, signed by the court and filed on October 8, 2024, (the “Scheduling Order”).)

On February 6, 2025, Cypress filed its operative fifth amended complaint, asserting causes of action for: (1) breach of Distributor Agreement; (2) fraudulent concealment; (3) civil conspiracy; (4) breach of covenant of good faith and fair dealing; and (5) declaratory judgment (express contractual indemnity).

On February 11, 2025, KFEI submitted an *ex parte* application for issuance of letters rogatory³ for foreign discovery. Cypress submitted written opposition to the application. On February 14, 2025, the court issued an order denying KFEI’s *ex parte* application, stating that KFEI failed to make the required showing under Rule of Court 3.1202(c).⁴

On February 21, 2025, KFEI filed a renewed *ex parte* application for issuance of letters rogatory for foreign discovery. Cypress again submitted written opposition to the *ex parte* application. On February 28, 2025, the court issued an order granting an order shortening time on KFEI’s motion for letters rogatory, setting the matter for hearing on March 12, 2025.

Now before the court is KFEI’s motion for letters rogatory. On March 4, 2025, Cypress filed timely opposition to the motion, and on March 7, 2025, KFEI filed a timely reply.

II. KFEI’S REQUEST FOR LETTERS ROGATORY

With its instant motion, KFEI asks the court to issue letters rogatory to the judicial authorities of Singapore and Japan for the purpose of compelling the depositions of two former Cypress employees (Yuya Hasegawa and Fumiaki Narimatsu) currently residing in those countries. More specifically, KFEI requests that the court “issue Letters Rogatory to:

(1) the Supreme Court of Singapore and Competent Judicial Authorities therein to allow for the taking of sworn testimony of former Cypress Japan President Yuya Hasegawa, who resides in Singapore and is no longer affiliated with Cypress; and

³ A letter rogatory is “the request by a domestic court to a foreign court to take evidence from a certain witness. [Citations.]” (*Intel Corp. v. Advanced Micro Devices, Inc.* (2005) 542 U.S. 241, 247, fn. 1.)

⁴ Rule of Court 3.1202(c) provides that an *ex parte* applicant “must make an affirmative factual showing in a declaration containing competent testimony based on personal knowledge of irreparable harm, immediate danger, or any other statutory basis for granting relief *ex parte*.”

(2) the Yokohama District Court, Tokyo District Court, and Relevant Judicial Authorities of Japan to allow for the taking of sworn testimony of former Cypress Japan Sales Director Fumiaki Narimatsu, who is no longer affiliated with Cypress, resides in Yokohama, and whose place of employment is in Tokyo, Japan.”

(Notice of Motion, p. 2:1-11.) KFEI asserts that there is good cause for its requests because both witnesses have significant, first-hand knowledge relevant to KFEI’s causes of action.

(Mot., p. 1:3-18.) In opposition, Cypress argues that KFEI has not been diligent in seeking this discovery, that KFEI will be deposing other witnesses who supervised Mr. Narimatsu and Mr. Hasegawa, and that the requested depositions would be unduly burdensome and expensive.

(Opp., pp. 1:1-2:20.)

A. Legal Standard

Code of Civil Procedure, section 2027.010 provides:

(a) Any party may obtain discovery by taking an oral deposition, as described in Section 2025.010, in a foreign nation. Except as modified in this section, the procedures for taking oral depositions in California set forth in Chapter 9 (commencing with Section 2025.010) apply to an oral deposition taken in a foreign nation.

(b) If a deponent is a party to the action or an officer, director, managing agent, or employee of a party, the service of the deposition notice is effective to compel the deponent to attend and to testify, as well as to produce any document, electronically stored information, or tangible thing for inspection, copying, testing, or sampling.

(c) If a deponent is not a party to the action or an officer, director, managing agent or employee of a party, a party serving a deposition notice under this section shall use any process and procedures required and available under the laws of the foreign nation where the deposition is to be taken to compel the deponent to attend and to testify, as well as to produce any document, electronically stored information, or tangible thing for inspection, copying, testing, sampling, and any related activity.

(d) A deposition taken under this section shall be conducted under the supervision of any of the following:

(1) A person who is authorized to administer oaths or their equivalent by the laws of the United States or of the foreign nation, and who is not otherwise disqualified under Section 2025.320 and subdivisions (b) to (f), inclusive, of Section 2025.340.

(2) A person or officer appointed by commission or under letters rogatory.

(3) Any person agreed to by all the parties.

(e) On motion of the party seeking to take an oral deposition in a foreign nation, the court in which the action is pending shall issue a commission, letters rogatory, or a letter of request, if it determines that one is necessary or convenient. The commission, letters rogatory, or letter of request may include any terms and directions that are just and appropriate. The deposition officer may be designated by name or by descriptive title in the deposition notice and in the commission. Letters rogatory or a letter of request may be addressed: “To the Appropriate Judicial Authority in [name of foreign nation].”

“Whatever the generous provisions of the California discovery statutes, courts ordering discovery abroad must conform to the channels and procedures established by the host nation. The limitation may rest on any one of several theories -- comity, curtailed discretion or implied statutory qualification.” (*Volkswagenwerk Aktiengesellschaft v. Superior Court* (1973) 33 Cal.App.3d 503, 508 [discussing the issuance of letters rogatory pursuant to former Code Civ. Proc. §§ 2018, subd.(b), and 2031].)

All courts of the United States have the inherent power to issue letters rogatory. (*United States v. Staples* (9th Cir. 1958) 256 F.2d 290, 293 [“This Court, like all courts of the United States, has inherent power to issue Letters Rogatory.”].) Some courts have held that “motions requesting issuance of a letter of request or a letter rogatory should generally be granted and that the opposing party must show good reason for a court to deny an application for a letter rogatory.” (*Simon & Simon, PC v. Align Tech, Inc.* (N.D. Cal. Oct. 27, 2022) 2022 U.S. Dist. LEXIS 196018 at *12, 2022 WL 16557638 (*Simon & Simon*), internal punctuation and citations omitted.)

B. Discussion

By the plain language of Section 2027.010, subdivision (e), a court shall issue letters rogatory upon such a motion if it determines that doing so is “necessary or convenient.” KFEI argues that the letters rogatory it requests are necessary and convenient because Mr. Hasegawa and Mr. Narimatsu have significant, first-hand information regarding the subject matter of this case. (Mot., p. 7:19-23.) KFEI asserts that the letters are necessary because Mr. Hasegawa and Mr. Narimatsu are no longer affiliated with Cypress and are not represented by its current counsel, and further, that the letters rogatory are the most convenient method for obtaining their testimony. (*Id.* at pp. 7:24-8:7.) KFEI relies upon *Simon & Simon*, among other decisions,

for the proposition that courts generally apply a “liberal standard” to a motion for letters rogatory. (*Id.* at pp. 6:4-15, 8:4-20.)

In opposition, Cypress emphasizes that the requested depositions are highly unlikely to take place before the April 15, 2025, deadline for the close of fact discovery. (Opp., p. 1:10-19.) Cypress contends that KFEI is effectively asking the court for a one-sided extension of the court’s Scheduling Order without making the required showing of good cause. (*Id.* at p. 1:20-22.) Cypress argues that granting KFEI’s request will result in unnecessary expense and further motion practice. (*Id.* at pp. 2:21-4:4.) Cypress asserts that, even under the most generous timeline imagined by KFEI, it will take at least six weeks for the Singapore court could rule upon and enforce the request as to Mr. Hasegawa, but it will likely take several months for same process to occur for Mr. Narimatsu’s deposition in Japan. (*Id.* at p. 3:5-15.)

Cypress argues that KFEI has neither asked the court for an extension of discovery nor made the requisite showing of good cause to justify such an extension. (Opp., pp. 4:5-5:2.) Cypress further contends that KFEI will have the opportunity to depose other witnesses, including those who functionally supervised Mr. Hasegawa and Mr. Narimatsu. (*Id.* at p. 5:3-16.) Cypress also argues that KFEI previously demanded an earlier trial date despite knowing for years that Mr. Hasegawa and Mr. Narimatsu no longer worked for Cypress and were based overseas. (*Id.* at p. 5:17-25.) Cypress does not dispute KFEI’s assertion that Mr. Hasegawa and Mr. Narimatsu have significant, first-hand information regarding the subject matter of this case.

In this case, the court finds that it is necessary and convenient to issue the requested letters rogatory because it is undisputed that the Mr. Hasegawa and Mr. Narimatsu have significant, first-hand information regarding the subject matter of this action, and Cypress has not suggested any more convenient means of obtaining their testimony. Therefore, based on the filings with respect to the instant motion, the court will GRANT the request for letters rogatory pursuant to Code of Civil Procedure, section 2027.010, subdivision (e). However, the court emphasizes that the deadline for the close of fact discovery remains April 15, 2025, as set by the parties’ stipulation and the court’s Scheduling Order.

Thus, while the court finds that KFEI’s motion for letters rogatory meets the pertinent standard for such a request, it further finds that KFEI has not affirmatively put a noticed

motion for the extension of the deadline for fact discovery before the court, nor has it made the requisite showing of good cause in support of such a request.⁵

III. CONCLUSION

The request for letters rogatory is GRANTED, with the important caveat that the deadline for the close of fact discovery is not extended and shall not be extended absent a clear, affirmative showing of good cause under the Code of Civil Procedure for such relief.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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⁵ Code of Civil Procedure, section 2024.050 provides as follows, in full:

(a) On motion of any party, the court may grant leave to complete discovery proceedings, or to have a motion concerning discovery heard, closer to the initial trial date, or to reopen discovery after a new trial date has been set. This motion shall be accompanied by a meet and confer declaration under Section 2016.040.

(b) In exercising its discretion to grant or deny this motion, the court shall take into consideration any matter relevant to the leave requested, including, but not limited to, the following:

(1) The necessity and the reasons for the discovery.

(2) The diligence or lack of diligence of the party seeking the discovery or the hearing of a discovery motion, and the reasons that the discovery was not completed or that the discovery motion was not heard earlier.

(3) Any likelihood that permitting the discovery or hearing the discovery motion will prevent the case from going to trial on the date set, or otherwise interfere with the trial calendar, or result in prejudice to any other party.

(4) The length of time that has elapsed between any date previously set, and the date presently set, for the trial of the action.

(c) The court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to extend or to reopen discovery, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.

Calendar Line 6

Case Name:

Case No.:

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Calendar Line 7

Case Name:

Case No.:

- oo0oo -

Calendar Line 8

Case Name:

Case No.:

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Calendar Line 9

Case Name:

Case No.:

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Calendar Line 10

Case Name:

Case No.:

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Calendar Line 11

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Case No.:

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Calendar Line 12

Case Name:

Case No.:

- oo0oo -

Calendar Line 13

Case Name:

Case No.:

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